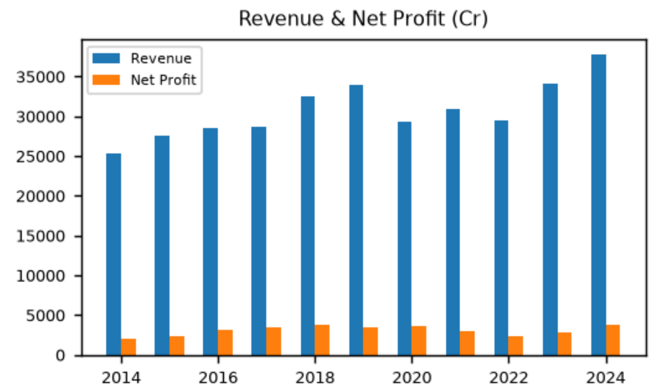
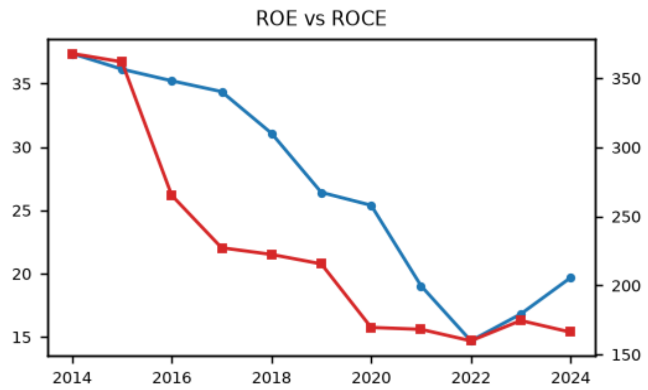
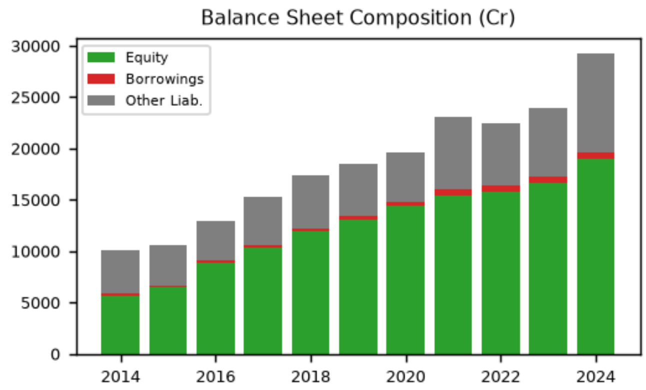
Hero MotoCorp Ltd (HEROMOTOCO)

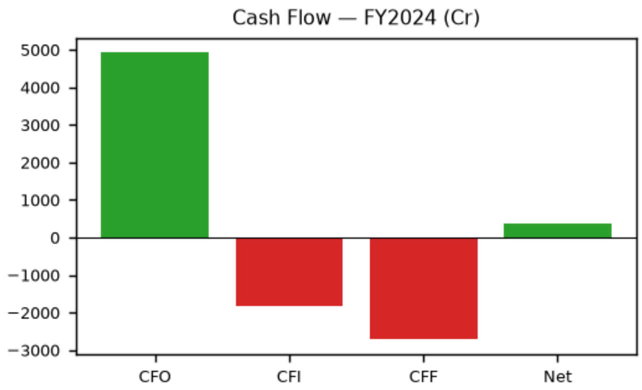
Consumer Discretionary · Fiscal Year 2024

ROE 19.7%	**ROCE** 166.2%	**Net Profit Margin** 9.9%
D/E 0.0	**Revenue CAGR 5yr** 2.2%	**FCF (Cr)** 3,095









Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Shareholder Returns